The Wallet as Legal Subject: Subordination, Property, and the Dissolution of the Employee–Contractor Line

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Abstract

Labor law distinguishes employees from independent contractors along a single doctrinal axis: the degree of subordination the employer exercises over how the worker conducts themselves within the employer's system of processes and values. The axis is a continuum, the classification is a threshold placed somewhere on it, and the threshold is the perpetual subject of legislative and judicial contest — AB5 and Proposition 22 in California, *Uber BV v Aslam* in the United Kingdom, the 2024 EU Platform Work Directive. The cases are all the same case, relitigated in each jurisdiction against each new technology.

This paper argues that the bonded settlement primitive of [Daliana, 2026a], implemented and verified in [Daliana, 2026b], changes the doctrinal terrain by eliminating the axis. Figaro parties are bonded counterparties; there is no employment relation to classify. The wallet collapses a distinction the Roman legal tradition kept separate: *res* (property) and *persona* (legal party). Every productive asset is simultaneously property and party — self-owned rather than owned or rented.

We develop the argument in three moves. First, we locate subordination as the doctrinal variable in the long-running labor classification debate, drawing on Anderson's analysis of the firm as private government [Anderson, 2017], Ellerman's argument that the employment contract renews the master–servant relation in softer form [Ellerman, 1992], and Taleb's compressed version of the same point in *Skin in the Game* [Taleb, 2018]. Second, we show that the gig-economy case law is a classification dispute whose ground disappears once subordination ceases to be a variable. Third, we name the trade-off: Figaro is a leveller on the subordination axis but simultaneously a privatizer of employment-attached protections (unemployment insurance, healthcare, pensions, collective bargaining). What follows is a matter of policy, not mechanism.

Keywords: labor law, employee classification, gig economy, private government, subordination, legal subject, self-sovereign identity

1 Introduction

Labor law, across every jurisdiction that has one, answers a recurring question: is this person an employee or an independent contractor? The answer matters because the two categories attract radically different legal consequences — minimum wage, overtime, unemployment insurance, employer health-insurance obligations, workers' compensation, collective-bargaining rights, anti-discrimination protections, tax treatment, pension eligibility. The classification test varies by jurisdiction, but all tests converge on a common underlying variable: the degree to which the putative employer directs and controls the putative employee's work — their schedule, their tools, their processes, their supervision, their ability to work for others.

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We will call this variable *subordination*, following the usage common in Continental labor-law scholarship and in the political-economy tradition we return to in Section 2. Subordination is a continuum; the employee–contractor line is a threshold placed somewhere on it; and the location of the threshold is the perpetual subject of doctrinal and political contest.

The gig economy made the contest legible. Drivers, couriers, and platform freelancers occupy a region of the subordination continuum the existing legal categories were not designed for: loosely supervised by algorithm, nominally free to refuse work, economically dependent on the platform nonetheless. Jurisdictions have responded with increasingly granular tests. California's Assembly Bill 5 (2019) codified the ABC test [AB5, 2019], pushing many gig workers toward employee status; Proposition 22 (2020) carved out an exception for app-based rideshare and delivery drivers [Prop 22, 2020]. The UK Supreme Court in *Uber BV v Aslam* [Uber v Aslam, 2021] classified drivers as "workers" — a third category intermediate between employee and contractor — on subordination grounds. The EU Platform Work Directive (Directive (EU) 2024/2831) [EU Platform Work Directive, 2024] established a presumption of employment for platform workers meeting specified control indicators.

Each of these cases and statutes is, at root, an attempt to draw the same line differently. The line itself is what the cases cannot dispense with.

The argument of this paper. We argue that the bonded settlement primitive developed in [Daliana, 2026a] and implemented in [Daliana, 2026b] changes the question. Its companion institutional-economics paper [Daliana, 2026c] develops the institutional consequence: the firm becomes one organizational pattern among several when the subordination overlay is no longer enforcement-driven. The legal consequence follows but needs a separate treatment because its vocabulary and its audience are different.

Specifically: when every party to a productive exchange is a bonded counterparty — signing commitments under their own key, posting collateral against their own performance, receiving settlement directly to their own wallet — there is no employment relation to classify. The classification problem has no subject. The employee–contractor line is not redrawn; it is dissolved by the absence of the relation it was drawing.

What this paper is not. This paper does not provide legal advice. It does not argue that labor law should be abolished. It does not argue that employment-attached protections are undesirable. It does not predict that the bonded primitive will displace employment as the dominant coordination form, and does not endorse any particular outcome of the classification it dissolves. Its argument is diagnostic: the primitive changes the doctrinal terrain, and legal scholarship should understand that change independently of any normative conclusion one might draw from it.

Paper organization. Section 2 develops subordination as the labor-law variable, drawing on Anderson, Ellerman, and Taleb. Section 3 summarizes the settlement primitive in the terms relevant here. Section 4 develops the central legal move: the wallet as a legal subject that collapses the classical *res*/*persona* distinction. Section 6 re-reads the gig-economy case law through that lens. Section 7 names the leveller/privatizer trade-off. Section 8 concludes.

2 Subordination as the Labor-Law Variable

2.1 The Doctrinal Test

Every mature labor-law regime operationalizes the employee–contractor distinction through a control-flavored test. The details vary:

- The IRS twenty-factor test in the United States examines behavioral control, financial control, and the nature of the relationship.
- California's ABC test, codified in AB5, places the burden on the hiring entity to show that the worker (A) is free from control and direction, (B) performs work outside the hiring entity's usual business, and (C) is customarily engaged in an independently established trade.
- UK jurisprudence, following *Autoclenz* [Autoclenz, 2011] and refined in *Aslam*, examines the reality of the working arrangement rather than its contractual label, focusing on personal service, mutuality of obligation, and control.
- Continental systems (France, Germany, Italy) distinguish *travail salarié*, *abhängige Arbeit*, *lavoro subordinato* respectively, anchoring the status on *subordination juridique* — the juridical subordination of the worker to the employer's directive power.

The tests differ in which facts they weight and in whether the burden sits on the worker or the employer. They agree on what the variable is. Control, direction, supervision, integration into the employer's processes — these are all labels for the same underlying relationship: subordination of the worker's conduct to the employer's authority, in exchange for a wage.

2.2 The Philosophical Position

A scholarly tradition with roots in classical liberalism and in Marx, refreshed more recently by legal and political philosophers, reads the employment relationship as lying on the same continuum as older forms of property-in-persons. We summarize three representative positions; the paper does not endorse any of them, and each can be read as descriptive rather than normative.

Ellerman: the firm as rent-a-person. Ellerman [1992] argues that the employment contract is not merely economically one-sided but ontologically incoherent: it attempts to rent *persona* (the worker as legal party) on the same terms as *res* (the worker's labor power as object). In ordinary jurisprudence, persons cannot be rented — a doctrine that predates and survived the legal abolition of chattel slavery. The employment contract, Ellerman argues, honors the formal doctrine by contracting for labor power rather than the person, but the substance of the relation (subordination of the worker's conduct to another's authority for a defined period) exercises the same operative control. The argument is philosophical rather than legal — Ellerman is not claiming that employment contracts are unenforceable — but it names a tension that labor law operationalizes as the employee/contractor test.

Anderson: the firm as private government. Anderson [2017] makes the complementary argument at the level of political theory. Firms exercise governmental powers over employees — mandatory schedules, speech restrictions, body surveillance, drug testing, arbitrary dismissal — that are constitutionally proscribed when exercised by the state. American political vocabulary, Anderson argues, has no term for this because the liberal tradition's attention to state power left the authoritarian structure of the workplace unanalyzed. The firm is a private government, and the employment relation is the governance relation within it.

The structural observation common to Ellerman and Anderson — that the employment relation places one party's conduct under another party's authority along an axis whose endpoints touch historical arrangements of chattel and serfdom — has been put in popular form by other writers as well.[1] The observation, however framed, is that the axis is subordination; the differences between historical arrangements at different points on it are quantitative. The paper does

[1] See, e.g., Taleb [2018, Book 4, Ch. 3, "How to Legally Own Another Person"], who frames the relation as "an employee is practically a slave." Taleb's register is rhetorical and his treatment is not peer-reviewed; we cite him

not endorse this framing as a moral claim about modern employment; we return to that scope question in §7.

Subordination in two registers. The doctrinal test in Section 2 and the philosophical treatment just given describe the same relationship from two disciplinary vantages. The doctrinal register is direction-and-control: does the putative employer specify schedule, tools, processes, supervision, ability to work for others? The property-rights register, developed in the institutional-economics companion [Daliana, 2026c, §3.1], is residual-rights allocation: does the employment contract transfer residual control rights over non-contractible decisions to an ownership nucleus separate from the productive asset? These are not competing definitions. The direction-and-control test is the *operational* face of subordination — what a court observes when assessing the relation. The residual-rights framing is its *structural* face — what a property-rights theorist sees when analyzing the same relation. The two converge: a relation with high directional control is a relation in which residual rights have been transferred; a relation in which residual rights stay with the worker is a relation of low directional control. This paper uses the doctrinal register (because the subject is labor law); the companion paper uses the property-rights register (because the subject is the boundary of the firm). The primitive dissolves both faces at once because they are faces of the same thing.

2.3 Why the Threshold Keeps Moving

Once subordination is recognized as the variable and the employee–contractor line as a threshold placed on it, the perpetual legal contest becomes explicable. The threshold has no principled location. Any specific test produces a bright line through a continuum, and whichever side of the line a given working arrangement falls on becomes the object of rent-seeking effort by the party for whom that side is cheaper.

- Employers push the threshold upward: reclassifying employees as contractors reduces payroll taxes, avoids benefits-attachment, eliminates collective-bargaining obligations, and removes discrimination-law exposure. Every major gig-economy platform has been the subject of litigation on this point.

- Workers with bargaining power push the threshold downward: reclassification as employees unlocks minimum-wage protections, overtime, employer-funded health insurance, unemployment eligibility, and union rights. Much of AB5 was a legislative response to this pressure.

The threshold is not “wrong”; it is *under-specified.* The underlying continuum has no natural joint. As technologies of remote direction (apps, algorithms, performance dashboards) evolve, the reality of the control relation changes faster than the law can locate the threshold, which is why gig-economy cases recur across jurisdictions with broadly similar facts and broadly divergent outcomes.

3 The Settlement Primitive

We summarize only the features relevant to the legal argument. The mechanism is established in [Daliana, 2026a]; the Solidity implementation and formal verification in [Daliana, 2026b]; the evidentiary framework for off-chain dispute adjudication in [Daliana, 2026d].

here as evidence that the observation has currency outside academic labor philosophy, not as an independent argument on par with Anderson and Ellerman. The substantive analytical work in this paper rests on the latter two.

Bonded counterparties. A transaction between two parties is consummated by dual-signed EIP-712 commitments. Each party signs from their own wallet. Each party locks collateral against their own performance — the buyer locks $2P$, the seller locks $2G$ where G is the cumulative upstream value bonded in the process. Only the buyer can trigger resolution. Defection is structurally more expensive than cooperation. There is no platform between the parties, no arbitrator authorized to resolve disputes on-chain, and no admin key permitting external override.

What the primitive does not require. No employment relation, no subcontractor hierarchy, no master–servant agreement, no W-9 or W-2, no 1099 or P-60, no PAYE code, no *contrat de travail*. The primitive operates on parties as parties: each is a wallet address bonded against performance for a specified exchange. The direction-and-control relation that labor law categories turn on does not exist at the primitive layer; it is replaced by the direction given by the off-chain agreement both parties sign and the bond that backs their mutual performance.

4 The Wallet as Legal Subject

Roman private law distinguished *res* (things, property, objects that can be owned and alienated) from *persona* (persons, parties, subjects capable of acting legally). The distinction survived and structures modern private law: physical assets are *res*; natural persons and recognized legal persons (corporations, states, partnerships) are *personae*; the two interact through contracts of sale, lease, license, and labor.

The employment contract sits awkwardly in this structure. A worker is unambiguously a *persona*, but the employment contract treats the worker's labor power as *res* — a resource rented from the worker for a specified period, under the employer's direction. Ellerman's argument in Section 2 is that this treatment is operationally coherent only because the legal tradition has learned to overlook the *persona*/*res* boundary in this one setting. Every labor-law test for employee status is implicitly an attempt to police that boundary without naming it.

The wallet as collapse. A wallet in the FIGARO architecture is a legal artifact that does not fit the classical categories. It is a property — a cryptographic key-pair that its holder owns and can transfer or abandon. It is simultaneously a party — it signs commitments, posts bonds, receives settlements, accrues credentials, and generates an evidence record that off-chain adjudication can consume [Daliana, 2026d]. The wallet is the productive asset acting in its own legal name.

The collapse is not metaphorical. When the party to a commitment is the wallet itself (whether operated by a natural person, a software agent, or an organizational treasury), the classical *persona*/*res* partition no longer partitions. The wallet is what it controls and it controls what it is.

Three consequences.

(a) **Self-control is the default.** A wallet cannot be *owned* by another wallet in the way a *res* can be owned by a *persona*: ownership transfer requires key transfer, which is a change of control rather than a change of subject. We are careful here not to collapse ownership and control: the property-rights tradition (Grossman–Hart, Hart–Moore) builds on the distinction between the two, and the present paper relocates the question rather than dissolving it. The relocation is that residual control rights over the productive capability the wallet represents are held by whoever holds the key, not by an ownership nucleus separate from the productive asset. *What* the key controls — the cryptographic act of signing, but also indirectly the deployment of physical assets, tacit knowledge, and judgment under uncertainty that the signer brings to bear — remains a property-rights question with the same structure as before; it is just answered differently.

(b) **No rental of persona.** A commitment between two wallets bonds each wallet's performance directly. There is no construct in which one wallet's persona is rented to another for a defined period; each party signs for themselves, commitment-by-commitment.

(c) **Credentialing is self-attached.** At the protocol tier (per the kernel/protocol/runtime distinction in [Daliana, 2026a, §1.4]), schema-validated attestations and operator profiles attach to the wallet; at the runtime tier, NFT-anchored deeds and credentials may be layered on. A worker's skills, certifications, and performance history travel with the wallet, not with the employer. The resume becomes the wallet; the reference becomes an attestation.

These consequences are descriptive. They do not depend on any policy choice; they follow from the architecture of dual-signed bonded commitments settled directly between parties.

A fourth consequence: the wallet is self-accounting. The Roman private-law inheritance distinguishes *res* from *persona* and keeps both separate from the *liber rationum* — the book of account in which the entity's dealings are recorded. A Figaro wallet collapses the first two (§4 above); it also collapses both into the third. The companion accounting paper [Daliana, 2026e] develops the argument that a Figaro process is a self-closing ledger period whose records are constituted by the protocol rather than maintained by any party. For labor-law analysis, the implication is that the wallet is not only property-and-party but also its own continuously updated book of account: the worker-as-wallet has a record of performance, attested capability, and settled compensation that travels with the wallet indefinitely. This eliminates one traditional source of asymmetry between employer and employee — the employer keeps the books, the employee does not — by making the books protocol-level and symmetrically readable.

5 Displaced and Stateless Subjects

The arguments of Section 4 presumed a conventional institutional background: persons with stable civil-legal subjecthood within a jurisdiction, interacting through (or outside) the employment contract. The wallet-as-legal-subject argument compresses two classical categories for readers embedded in that background. For a second class of readers — populations whose access to stable civil-legal subjecthood is itself disrupted — the same argument discloses a different consequence worth stating separately.

Scale. The United Nations Refugee Agency estimated 120 million forcibly displaced persons worldwide at the end of 2023, and approximately 4.4 million persons registered as stateless, with a substantially larger estimated population whose statelessness is undocumented [UNHCR, 2024]. An overlapping population lacks stable banking and enforcement access for reasons of informal migration status, residence without papers, or residency in jurisdictions whose financial infrastructure does not reach them. The population for whom the labor-law classification debate in Section 2 is a second-order question — because the first-order question is whether they are recognized parties to any contract in any forum — is substantial.

The received architecture. Labor law, contract law, and commercial-dispute adjudication each presume a recognized legal subject attached to a jurisdiction that enforces their rights. Refugees, stateless persons, and undocumented migrants occupy the negative space of that presumption. The employment relation is typically unavailable to them formally (permission-to-work requirements), the independent-contractor relation unstable (cannot register a business, cannot enforce contracts in the local courts), and banking access restricted or absent. The humanitarian-economics literature on refugee economies [Betts and Collier, 2017] and the policy frontier between camp and labor market [Pritchett, 2006] documents the economic cost of this gap: the productive capacity of the displaced population is systematically underused because the institutional scaffold for engaging it is absent.

What the primitive does and does not do. The primitive does not resolve statelessness. It does not confer citizenship, restore legal recognition, or create enforcement against a state that denies the person's standing. It is not a substitute for the political work that addresses those gaps. What it does is narrower: it provides a commerce architecture whose precondition is a cryptographic key rather than a recognized civil-legal subjecthood. A wallet does not require a passport to bond; a bonded commitment does not require a host-state court to enforce; a settled exchange does not require a domestic bank to clear. The primitive opens a region of productive activity — bilateral, bonded, settled between strangers — to participants for whom the legal scaffold that conventionally underwrites such activity is unavailable.

Arendt and the right to have rights. Arendt [1951] observed that the fundamental human right is the right to have rights — the right to belong to a political community within which one's other rights have standing. Her analysis of statelessness named the condition as a civilizational failure rather than an individual misfortune. The bonded primitive does not grant the right to have rights; it does, more narrowly, grant a capacity to have commerce. The two should not be confused. The right to have rights is political and is not within the gift of any technology; the capacity to have commerce is structural and becomes operational once the cryptographic infrastructure is in reach. For populations for whom the first right is denied, the second capacity is non-trivial.

A cautious posture. A paper in labor-law scholarship is not the venue to develop the humanitarian consequences of the primitive in detail; the brief treatment here is positional rather than programmatic. We note two constraints. First, key custody is a real constraint: populations with unreliable access to power, devices, and connectivity face usability barriers at the cryptographic layer that are not solved by the primitive per se. Second, counterparty willingness: a well-resourced buyer may decline to bond with a counterparty lacking civil-legal standing for reasons that have nothing to do with the primitive and everything to do with downstream legal exposure in the buyer's home jurisdiction. These constraints are empirical and evolve with the infrastructure. The analytical point is that the primitive moves the humanitarian-economics gap from an architectural impossibility to an operational engineering question, which is a nontrivial move.

6 The Gig-Economy Cases, Re-read

The gig-economy case law can be read as a series of attempts to place the employee–contractor threshold in the face of a technology (the platform) that had engineered a new position on the subordination continuum. We re-read four landmark cases/statutes through the primitive's lens.

California AB5 (2019). AB5 codified the ABC test established in *Dynamex Operations West v Superior Court* [Dynamex, 2018], shifting the classification default toward employee status for workers performing services in the hiring entity's usual course of business. The statute's legal force turns on the direction-and-control finding (prong A), the nature-of-work finding (prong B), and the independent-trade finding (prong C).

Under the primitive, none of the three prongs are well-posed. There is no hiring entity to direct and control (prong A has no subject). There is no usual course of business for the bonded counterparty relation (prong B presupposes a firm). The bonded party is by construction independently established (prong C is trivially satisfied, not by design but by default). AB5 operationalizes a threshold that Figaro does not instantiate at all.

Proposition 22 (2020). Prop 22 created a statutory exception to AB5 for app-based rideshare and delivery drivers, classifying them as contractors with a specified minimum earnings guarantee and healthcare subsidy. The political coalition behind Prop 22 argued that AB5 was forcing classification into a category inappropriate for the work; the coalition against argued that the exception hollowed out AB5's protective purpose. Both arguments are downstream of the threshold choice.

Under the primitive, Prop 22's carve-out is unnecessary because the category it is carving out of does not apply. The underlying question it tries to answer — how to provide minimum earnings and healthcare to workers outside the employment relation — is what we treat in Section 7 as the leveller/privatizer trade-off. Figaro does not answer it; it changes what the question is.

Uber BV v Aslam (UKSC 2021). The UK Supreme Court held unanimously that Uber drivers are *workers* — an intermediate category in UK employment law that attracts minimum wage and holiday-pay protections but not full employee rights. The Court examined the substance of the relation (algorithmic direction, tightly specified routes, rating systems, ability-to-work-for-others constraints) rather than the contractual label. The judgment is unusually clear that subordination-in-substance is the operative test.

Under the primitive, the Aslam analysis does not run. There is no entity whose substance can be examined against the contractual label, because the primitive produces no contract between substance-behind-label and worker. A bonded counterparty signs commitment-by-commitment with the party it serves. The rating-and-algorithmic-direction apparatus that Aslam turned on is a platform artifact; it does not exist in the primitive.

EU Platform Work Directive (2024). The Directive establishes a presumption of employment for platform workers when specified criteria are met (algorithmic management, remuneration caps, appearance restrictions, tool prescriptions, supervision of work, restrictions on working for others). Member states are to implement by 2026. The Directive is the most sophisticated of the four measures: it treats platform employment as its own typological object, with a presumption rule rather than a bright-line test.

Under the primitive, the Directive's presumption criteria have no referent — there is no platform between parties whose algorithmic management would trigger the presumption. The Directive applies to the platform-mediated region of the contemporary labor market; Figaro moves exchanges out of that region entirely.

The pattern. Each measure engages the subordination variable directly, and each would be either vacuous or inapplicable if the parties to an exchange were bonded counterparties rather than parties to a platform-mediated or firm-mediated employment relation. The cases do not fail in the Figaro setting; they have no application there.

7 Leveller and Privatizer

The primitive is, in one register, a leveller. It eliminates a structural asymmetry in labor markets: the subordination gradient between employer and employee. Every party is bonded on the same terms; every party signs from its own wallet; no party is rented as *persona*.

The primitive is, in another register, a privatizer. The protections labor law built around the employment relation — employer-funded healthcare, employer-paid payroll taxes feeding unemployment insurance, employer pension contributions, workplace safety inspections tied to employer status, collective bargaining structured around bargaining units within firms — are all attached to the category that the primitive removes. When employment is not the container, employment-attached protections are not delivered.

Asset specificity is a scope condition. The argument above presumes that the productive activity in question is the kind for which symmetric bilateral bonding is an adequate substitute for hierarchical governance. The institutional-economics companion [Daliana, 2026c, §3] is explicit that asset specificity continues to favor hierarchy: when a productive asset's value is contingent on a specific counterparty (relationship-specific human capital, co-located equipment, firm-specific tacit routine), the holdup risk lies in the pre-transaction sunk investment rather than in the transaction itself, and symmetric bonding does not neutralize that holdup — it relocates it. The class of activity for which the primitive substitutes for the firm is therefore bounded. What class is bounded by what level of specificity is an empirical question outside this paper's scope. The reader should take F's argument as applying within the bound: where asset specificity is low or where specificity-protecting arrangements are achievable through other means (long-term peer networks, treasury communities, serial bonded-commitment patterns), the employment relation becomes optional. Where it is high, the employment relation persists for the standard TCE reason.

Four options for the political response. We do not advocate for any of them; we name them so the trade-off is legible.

(i) **Attach protections to the wallet.** Health insurance, pension contributions, income protection become benefits that the wallet itself purchases from portable providers, priced per unit of bonded activity. This is the direction Prop 22 gestured at, without the AB5 backdrop making it necessary.

(ii) **Attach protections to citizenship.** Universal basic income, single-payer healthcare, state-funded unemployment assistance — all decouple protection from employment and re-couple it to polity membership. The social democratic tradition has advocated this independently of Figaro; the primitive removes one historical argument against the decoupling (the argument that employment was the natural locus because that is where most people spend most of their time).

(iii) **Preserve the employment option.** Nothing in the primitive prevents the employment relation from continuing to exist. Firms can hire employees, employees can bargain collectively, labor law can continue to regulate the subordination region. The primitive coexists with the employment relation rather than abolishing it. The question is what fraction of productive activity moves out of that region, and at what rate.

(iv) **Treat employment as the asset-specificity residual.** A position adjacent to (iii) but more pointed: employment continues to apply to the class of productive activity for which Williamsonian asset specificity makes hierarchical coordination the equilibrium response, and labor-law protections continue to attach to that residual domain. On this view the primitive does not compete with employment in the high-specificity region at all; it competes only in the low-specificity region, where employment was a second-best response to enforcement cost rather than a first-best response to specificity. The question becomes empirical: what is the asset-specificity distribution of contemporary productive activity, and what fraction lies on each side of the threshold? F does not answer the question; we name it because the institutional-economics tradition would otherwise treat its absence as oversight.

The trade-off is real: each of (i)–(iv) has different distributive consequences, and the fight over which one dominates will occupy the political economy of the next several decades regardless of how the primitive diffuses. What the primitive changes is that the fight becomes explicit: the attachment of protections to employment was a historical contingency that looked like a natural fact; once the category is removable, the attachment becomes a policy choice.

8 Conclusion

Labor law has treated subordination as an axis on which to place threshold after threshold, in each jurisdiction against each technology. The bonded settlement primitive removes the axis by removing the relation that gave it its subject matter. The employee–contractor line, the platform-worker line, the *worker* category, the *subordonné* test — all presuppose a directional control relation between two parties that the primitive does not produce. The classification problem has no classification problem.

What is left is a different set of questions. What protections, if any, should attach to productive activity independent of the employment relation? Which organizational patterns will absorb the productive activity that moves out of the employment relation, and how will they be regulated? How will labor law's traditional counterparty, the state, relate to productive activity that increasingly occurs between wallets rather than between firms and workers? These questions are not answered here and are not, in our reading, answerable from mechanism-design first principles. They are legal-doctrinal, political-economic, and constitutional questions that the primitive poses rather than resolves.

A scope caveat. This paper's argument is diagnostic. The primitive changes what labor law is asked about; the paper says so. The paper does not argue that the primitive will diffuse uniformly or that employment as a legal category will disappear. It does not argue that the disappearance of the classification problem is desirable, in whole or in part. It argues that the doctrinal terrain has changed, that legal scholarship has not yet caught up to the change, and that whatever normative position the reader takes on the change will be better served by engagement with the primitive on its own terms than by treating it as one more gig-economy platform to be reclassified under the existing test.

A note on rhetoric. We have, following Anderson and Ellerman (and, in a popular register, Taleb), used the vocabulary of "subordination" and "slavery" to describe the employment relation. The rhetorical register is deliberate but should not be mistaken for a normative claim about modern employment. Modern labor law — at-will doctrine carve-outs notwithstanding — has developed substantial protections that distinguish the employee from the serf and the serf from the slave. The axis on which these arrangements sit is structural, not moral; the primitive removes the arrangement, not the moral progress the arrangement's softening represented. Whether that removal is desirable is a policy question; whether it is happening is an engineering one; and the two questions should not be conflated.

A cross-cluster note on the diagnostic posture. This paper, along with the institutional-economics companion [Daliana, 2026c], the political-economy companion [**?**], and the electronic-evidence companion [Daliana, 2026d], each individually disclaims the normative register. Each is explicit that it is diagnostic rather than predictive or prescriptive. Read together, the four diagnoses nonetheless accumulate into a picture: a world in which the firm demotes, gig-economy classification dissolves, platform hegemony becomes visible, and legal adjudication cleanly decouples from settlement. A careful reader can observe that four carefully bounded diagnoses, read in sequence, approach an *implicit* endorsement — an endorsement by exhaustion — that no individual paper makes. We wish to name this effect without resolving it. The portfolio describes what it observes about the primitive's consequences; it does not predict which of those consequences materialize, does not advocate for those that do, and does not compose the four diagnoses into a prediction. The normative question of whether any of the diagnosed changes are desirable is policy and politics, and the present paper — along with its companions — leaves that question open.

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